

GOVERNMENT OF INDIA
MINISTRY OF FINANCE (DEPARTMENT OF REVENUE)
CENTRAL BOARD OF INDIRECT TAXES AND CUSTOMS

Circular No. 177/09/2022-GST

F. No. CBIC-20001/9/2022-GST

Government of India, Ministry of Finance (Department of Revenue)

New Delhi, dated the 3rd August, 2022

Subject: Clarification on GST applicable on Works Contract services for construction of roads, bridges, tunnels and other civil infrastructure.

1. References have been received from the field formations and trade seeking clarification regarding the applicable rate of GST on works contract services for construction of roads, bridges, tunnels, railways, and other civil infrastructure. Conflicting advance rulings from multiple states have created uncertainty. This circular seeks to provide definitive clarification.

Legal Framework

2. Works Contract is defined under Section 2(119) of the CGST Act, 2017 as a contract for building, construction, fabrication, completion, erection, installation, fitting out, improvement, modification, repair, maintenance, renovation, alteration or commissioning of any immovable property wherein transfer of property in goods (whether as goods or in some other form) is involved.
3. Entry 3(iv) of Notification No. 11/2017-Central Tax (Rate) dated 28.06.2017 as amended by Notification No. 15/2021-Central Tax (Rate) dated 18.11.2021 provides for GST rate of 12% (6% CGST + 6% SGST) on works contract services supplied to the Central Government, State Governments, Union Territories, local authorities, or a Governmental Authority or Government Entity, for construction of infrastructure projects including roads, bridges, tunnels, railways, airports, and other civil infrastructure.

Issue 1: Works Contract for Road Construction

4. The rate applicable on works contract services for construction, repair, and maintenance of roads and highways is as under:
 - (a) Where the recipient is Central Government, State Government, local authority or a Governmental Authority: GST at 12% (6% CGST + 6% SGST) is applicable. This rate is effective from 01.01.2022 pursuant to 46th GST Council recommendation.
 - (b) Where the recipient is a PSU (Public Sector Undertaking) like NHAI, NHIDCL, or similar entities: If the PSU qualifies as a 'Government Entity' (i.e., an entity in which 90% or more participation by way of equity or control is with the Government), the 12% rate applies. If the PSU does not meet this criterion, the general rate of 18% applies.
 - (c) Sub-contractor providing works contract services to the main contractor: The sub-contractor's services are taxable at 12% only if the main contractor is providing works contract services directly to a Government entity and the sub-contractor's services are for the same Government project. Otherwise, 18% applies.

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5. The Uttarakhand AAR in M/s National Highways & Infrastructure Development Corporation (AAR/UK/2022/014) held that NHIDCL qualifies as a Government Entity and therefore works contract services provided to NHIDCL for construction of tunnels in Uttarakhand are taxable at 12%. This ruling is consistent with the position clarified herein.

Issue 2: Composite Supply vs Pure Works Contract

6. Where a contract involves both works contract (civil construction) and supply of goods (equipment, machinery), the characterisation of the supply depends on the principal supply:
- (a) If construction/installation is the principal supply and goods are ancillary: The entire supply is a works contract and taxed at the works contract rate.
- (b) If supply of goods (e.g., machinery, equipment) is principal and installation is ancillary: The supply is characterised as supply of goods with ancillary installation service. GST applies at the rate applicable to the goods.
- (c) In case of doubt, the value of goods relative to the total contract value and the intent of the parties shall be determinative.
7. Field formations are directed to ensure this circular is applied prospectively from the date of issuance. Cases where demand has been raised applying 18% GST on Government works contracts meeting the criteria in para 4(a) above shall be reviewed.

Rate Summary for Works Contract (Post 01.01.2022)

Roads/bridges/tunnels to Central/State Govt	: 12%
Works contract to Govt Entity (90% Govt equity)	: 12%
Works contract to PSU below 90% threshold	: 18%
Sub-contractor on Govt project (eligible)	: 12%
Works contract to private entities	: 18%

8. This circular is issued in exercise of the powers conferred by section 168(1) of the Central Goods and Services Tax Act, 2017.

Sd/-

(Sanjay Mangal)

Principal Commissioner (GST), CBIC